

Q1 2025 Block Investor Presentation

Forward-looking statements

This presentation contains forward-looking statements within the meaning of Section 27A of the Securities Act of 1933, as amended, and Section 21E of the Securities Exchange Act of 1934, as amended. Forward-looking statements can be identified by words such as “anticipate,” “believe,” “estimate,” “expect,” “goal,” “intend,” “likely,” “may,” “plan,” “project,” “seek,” “should,” “strategy,” “will,” and similar expressions. All statements other than statements of historical fact could be deemed forward looking, including, but not limited to, statements regarding our financial objectives, our future performance and our market opportunity. These forward-looking statements are based on our management’s current beliefs, expectations, and assumptions regarding future events and are therefore subject to a number of known and unknown risks, uncertainties, assumptions, and other factors that may cause actual results, performance, or achievements to differ materially from results expressed or implied in this presentation. Investors are cautioned not to place undue reliance on these statements. Among the factors that could cause actual results to differ materially from those indicated in the forward-looking statements are risks and uncertainties described from time to time in the Company’s filings with the Securities and Exchange Commission, including the Company’s Annual Report on Form 10-K for the year ended December 31, 2024 and its subsequent Quarterly Reports on Form 10-Q. All forward-looking statements are based on information and estimates available to the Company at the time of this presentation and are not guarantees of future performance. Earnings guidance for 2025 reflects assumptions the Company believes are reasonable as of the date of this filing, and actual results may vary based on macroeconomic conditions and other risks and uncertainties outlined in this forward-looking statements section and in the Company’s periodic reports filed with the SEC. Except as required by law, we assume no obligation to update any of these forward-looking statements.

Non-GAAP Financial Measures

To supplement our financial information presented in accordance with generally accepted accounting principles in the United States (“GAAP”), we consider and present certain non-GAAP financial measures. These non-GAAP measures are presented in addition to, and not as a substitute for or superior to, measures of financial performance presented in accordance with GAAP. The non-GAAP measures used by the Company may differ from the non-GAAP measures used by other companies.

Information regarding our non-GAAP financial measures, including reconciliations from the nearest corresponding GAAP equivalent to these non-GAAP measures, are included in the Appendix to this presentation.

Block Financial Objectives

- **Drive consistent growth while ensuring profitability**
Pursuing balance between delivering consistent growth without sacrificing profitability, setting the foundation for long-term success
- **Maximize gross profit**
Committed to delivering positive gross profit retention across each ecosystem, reinforcing the value of our integrated, diversified portfolio

- **Rule of 40¹**
We continue to view Rule of 40 as our guiding financial framework and believe we are well positioned entering 2026
- **Create value for shareholders**
Focusing on enhancing shareholder returns through a disciplined capital return strategy, amplifying the long-term value of our business

¹ Rule of 40 is the sum of our gross profit growth and Adjusted Operating Income margin as a percent of gross profit. We may refer to a "Rule of" number other than 40 to refer to the sum of gross profit growth and Adjusted Operating Income margin as a percent of gross profit for the period given. Adjusted Operating Income (Loss) is a non-GAAP financial measure that represents our operating income (loss), adjusted to eliminate the effect of amortization of acquired technology assets; acquisition-related and integration costs; contingencies, restructuring and other charges; restructuring share-based compensation expenses; goodwill and intangible asset impairment; and amortization of customer and other acquired intangible assets.

Q1 Key Messages

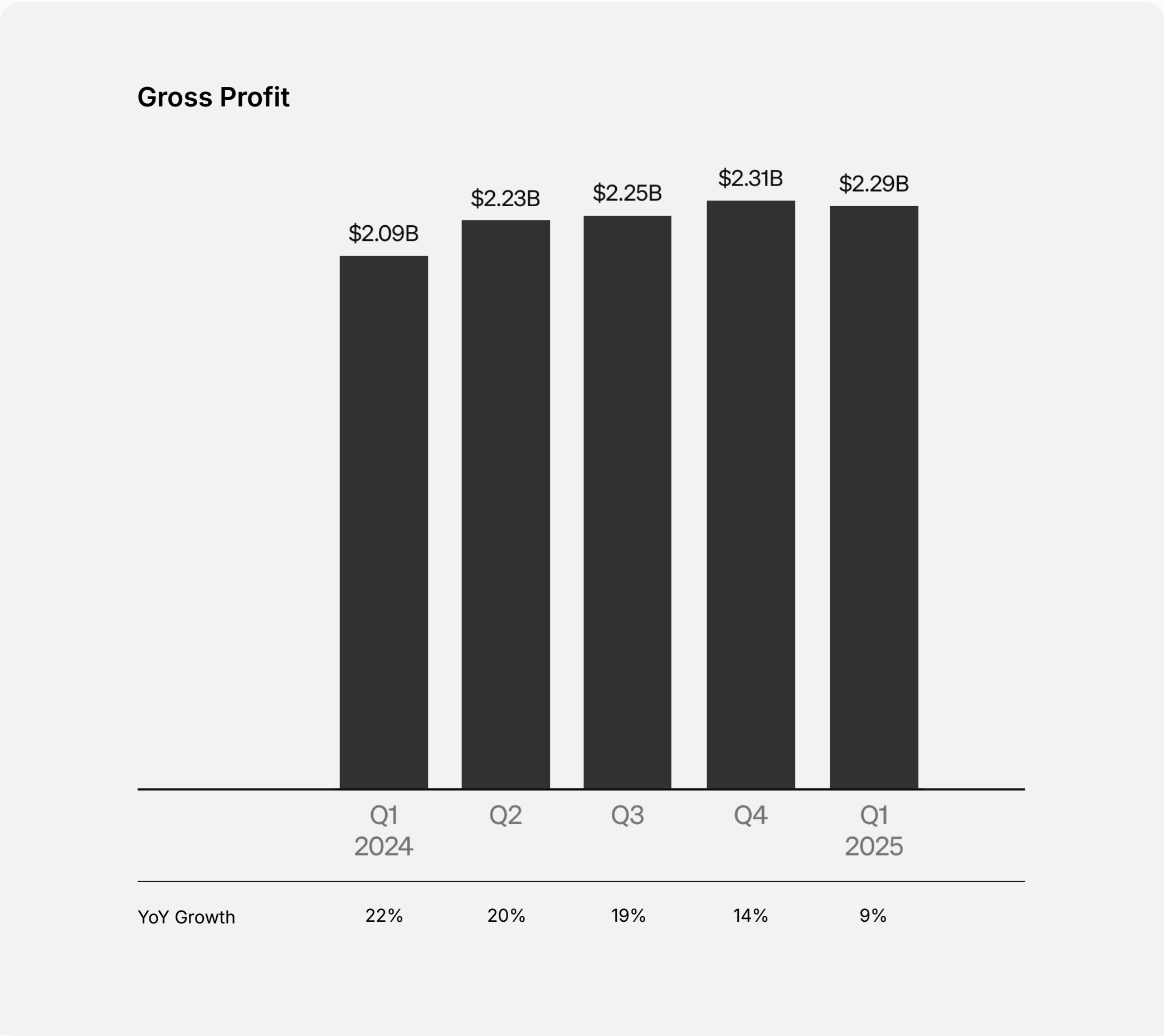
- **Delivered year-over-year gross profit growth of 9%** as we continue to launch new products across Square and Cash App to accelerate our growth at scale
- **Strong profitability** as we achieved our highest ever quarterly Adjusted Operating Income at \$466 million, up 28% year over year
- **Square gained market share across target verticals** with constant currency Square GPV growth of 8.2%
- **Growing engagement** on Cash App with gross profit per monthly transacting active of \$81 in Q1 on an annualized basis, up 9% year over year
- **Accelerating gross profit growth in the second half of the year** across Square and Cash App
- **Mid-teens gross profit growth expected in the fourth quarter**, 12% gross profit growth expected for the full year

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Please see the appendix for definition of Square GPV and gross profit per transacting active.

Q1 Gross Profit Growth

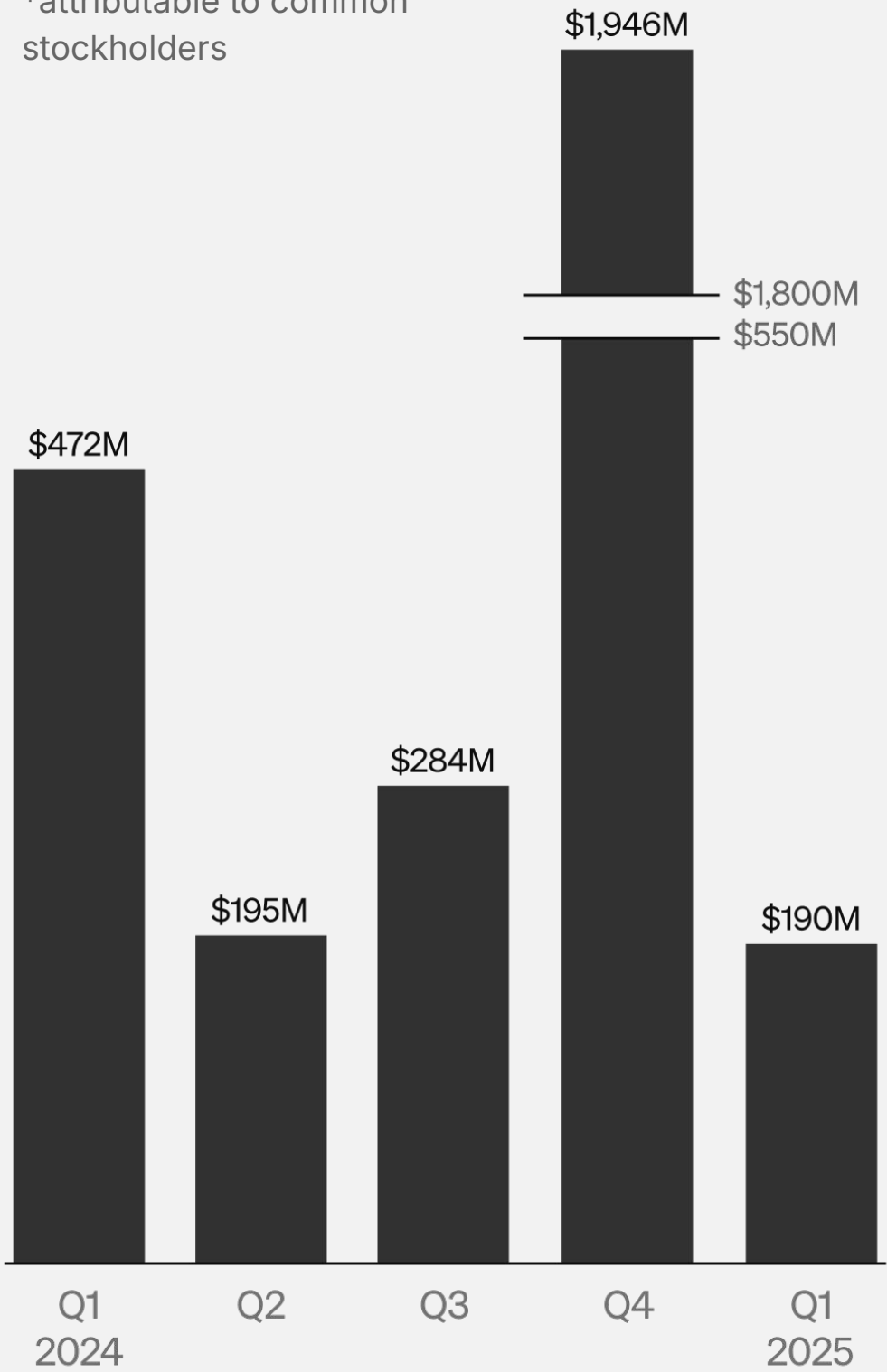
We delivered year-over-year gross profit growth of 9% as we continue to launch new products across Square and Cash App to accelerate our growth at scale



Q1 Profitability

Net Income (Loss)*

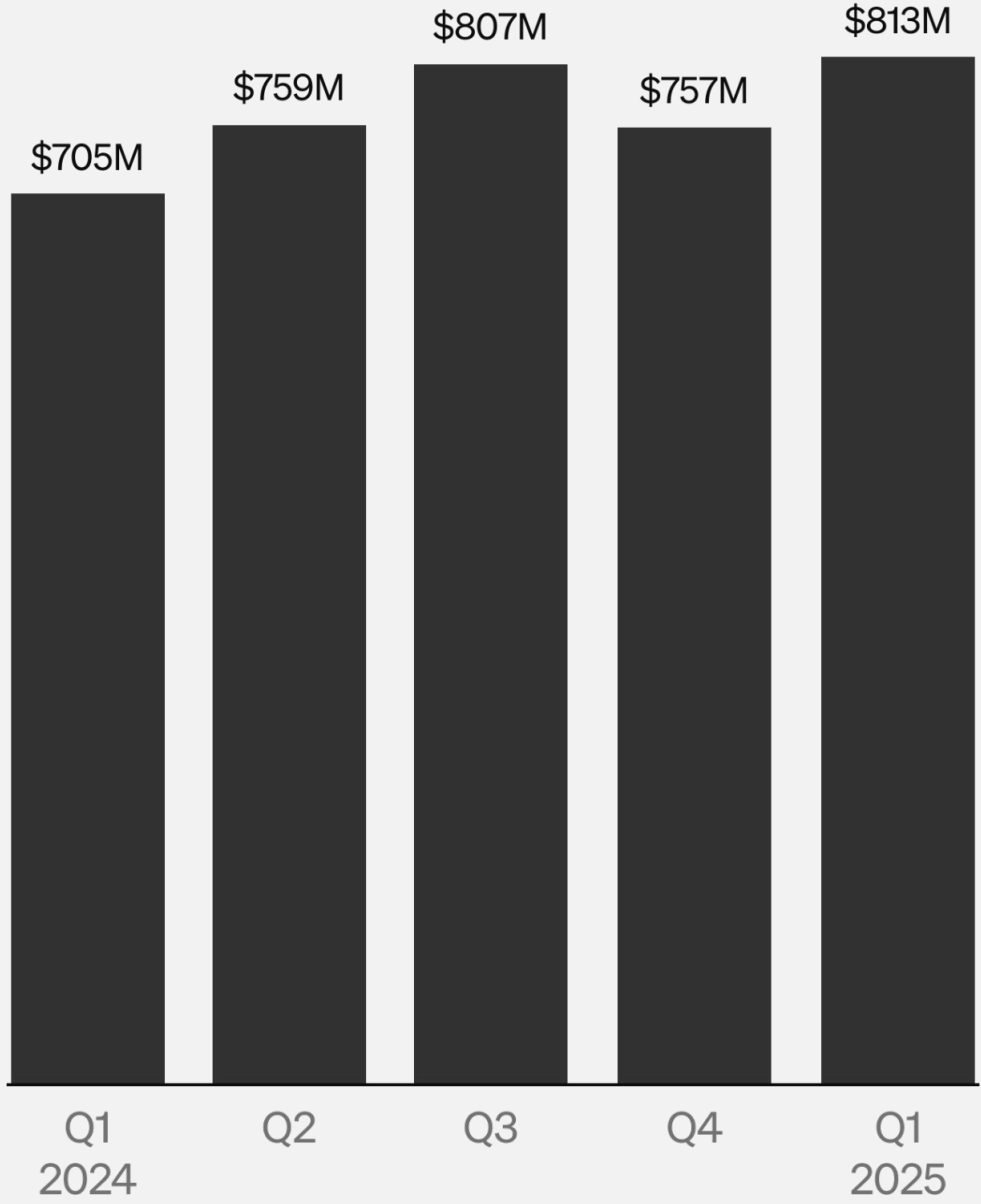
*attributable to common stockholders



Adjusted EBITDA

15% YoY Growth

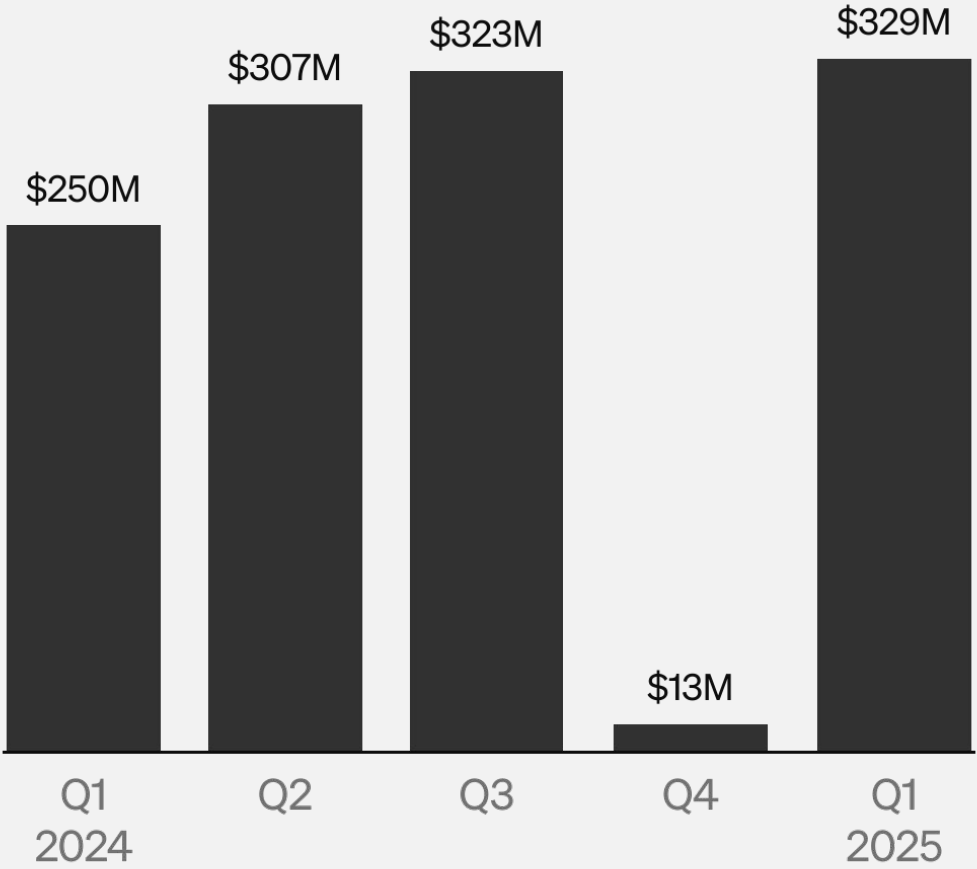
35% Margin
↓



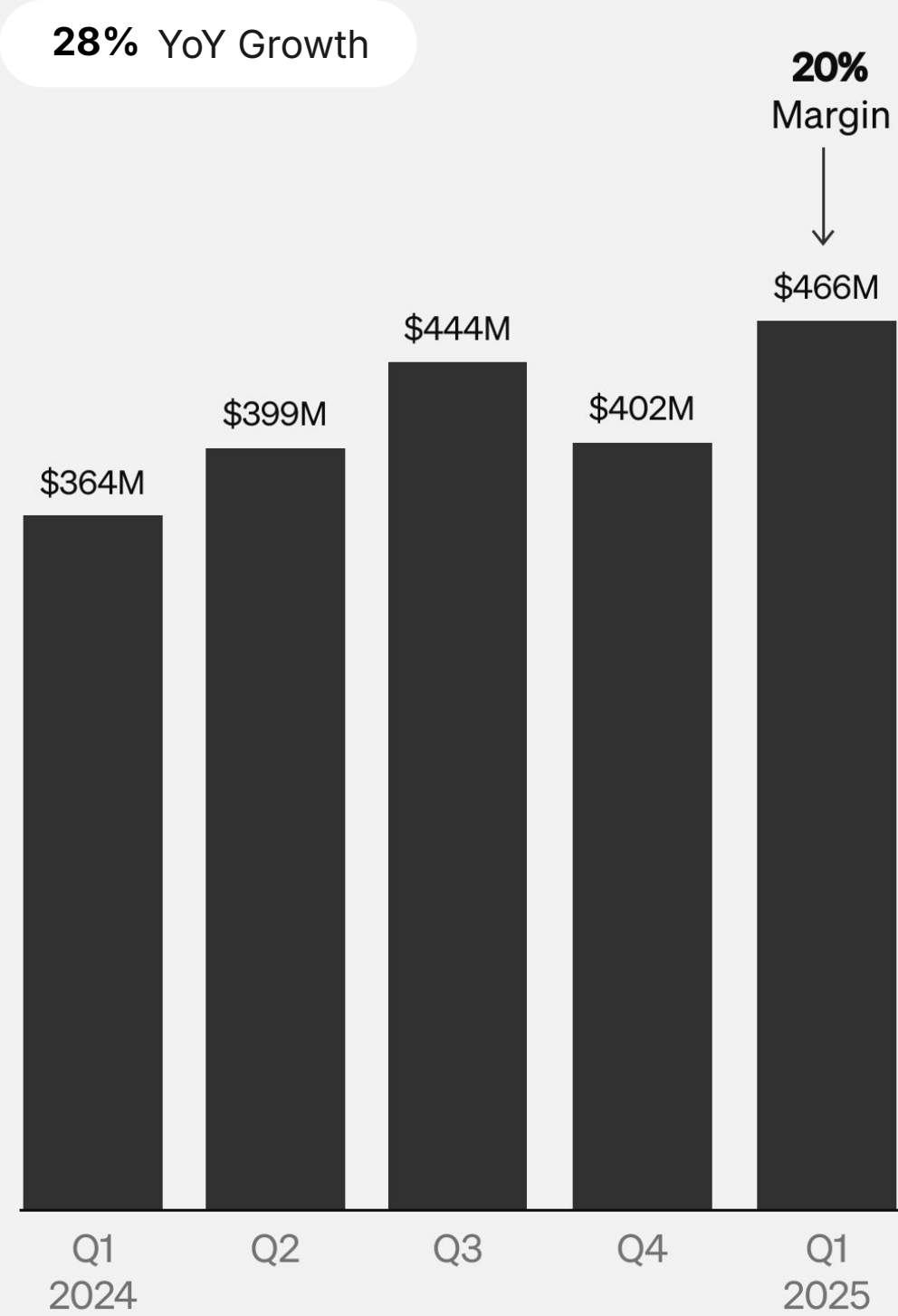
Margins are all calculated as a percent of gross profit. In the first quarter of 2025, net income included a remeasurement loss on our bitcoin investment of \$93 million. In Q4 2024, net income included one-time benefits from income taxes of \$1.9 billion in fiscal 2024 related to both the release of the Company's valuation allowance associated with certain federal and state deferred tax assets as well as the recognition of deferred tax assets as part of internal legal entity restructuring efforts. Please see these reconciliations for a description of certain items that affected net income (loss) in the first quarter of 2025.

Q1 Profitability

Operating Income (Loss)



Adjusted Operating Income (Loss)



Margins are all calculated as a percent of gross profit. Reconciliations of non-GAAP financial measures used in this presentation to their nearest GAAP equivalents are provided at the end of this presentation. Please see these reconciliations for a description of certain items that affected operating income (loss) in the in the periods presented.

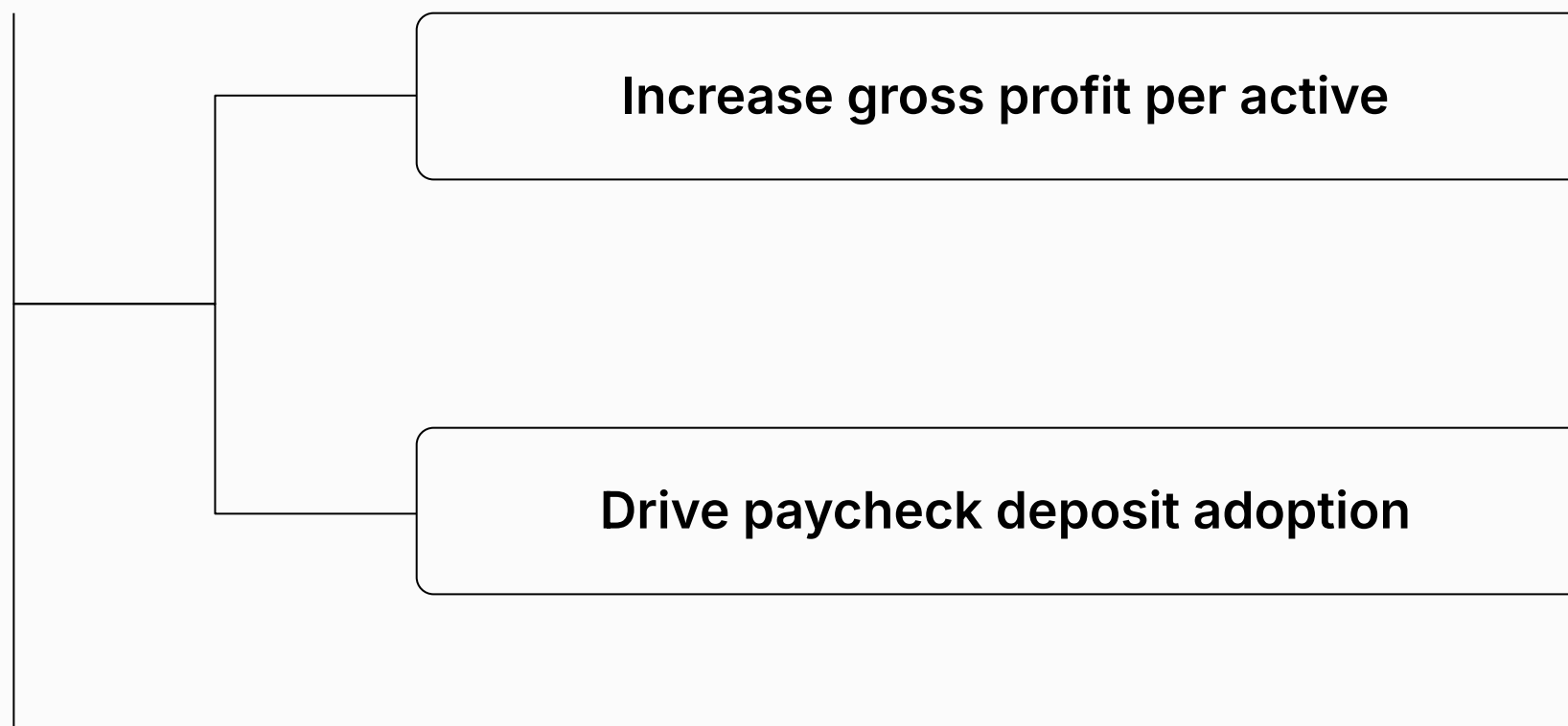
Cash App

Bank our Base strategy

Cash App aims to become one of the top providers of financial services to households in the U.S. which earn up to \$150k per year

- Expand access by growing our network and launching best-in-class financial services and commerce products
- Earn customer trust by focusing on reliability, security, and support
- Drive awareness of our financial services offerings and benefits
- Launch the next generation of spending tools

Pillars of our strategy



How we measure success

Continued strong growth at scale

Gross profit growth of 10% year over year driven by Cash App Borrow, Cash App Card, and BNPL

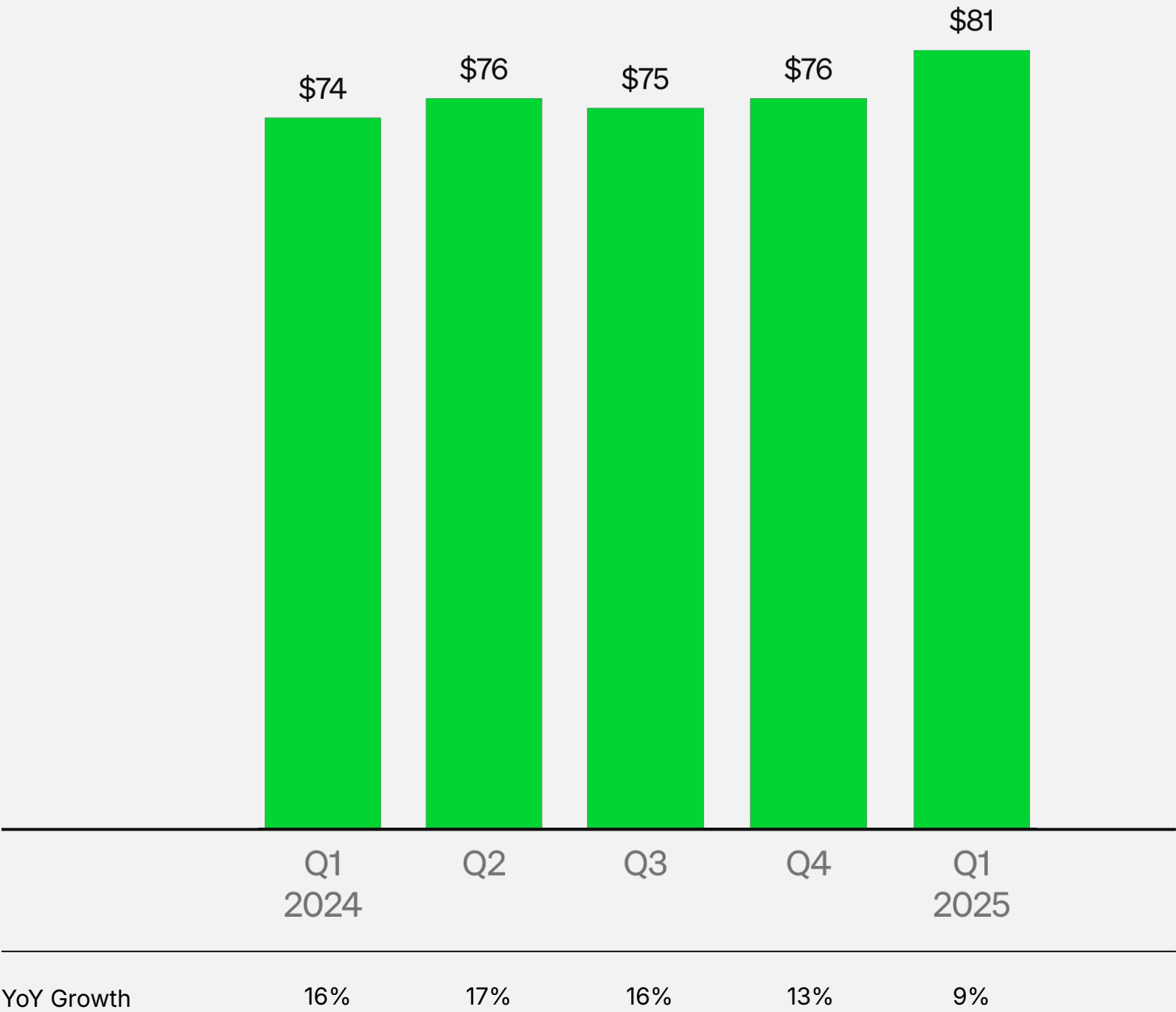
Cash App Gross Profit



Driving greater engagement and monetization

Gross profit per transacting active growth of 9% year over year in Q1

Cash App Gross Profit per Monthly Transacting Active



Please see the appendix for a definition of gross profit per monthly transacting active.

Driving greater engagement and monetization

Inflows per transacting active growth of 8% year over year in Q1, driven by more customers bringing their paychecks into Cash App

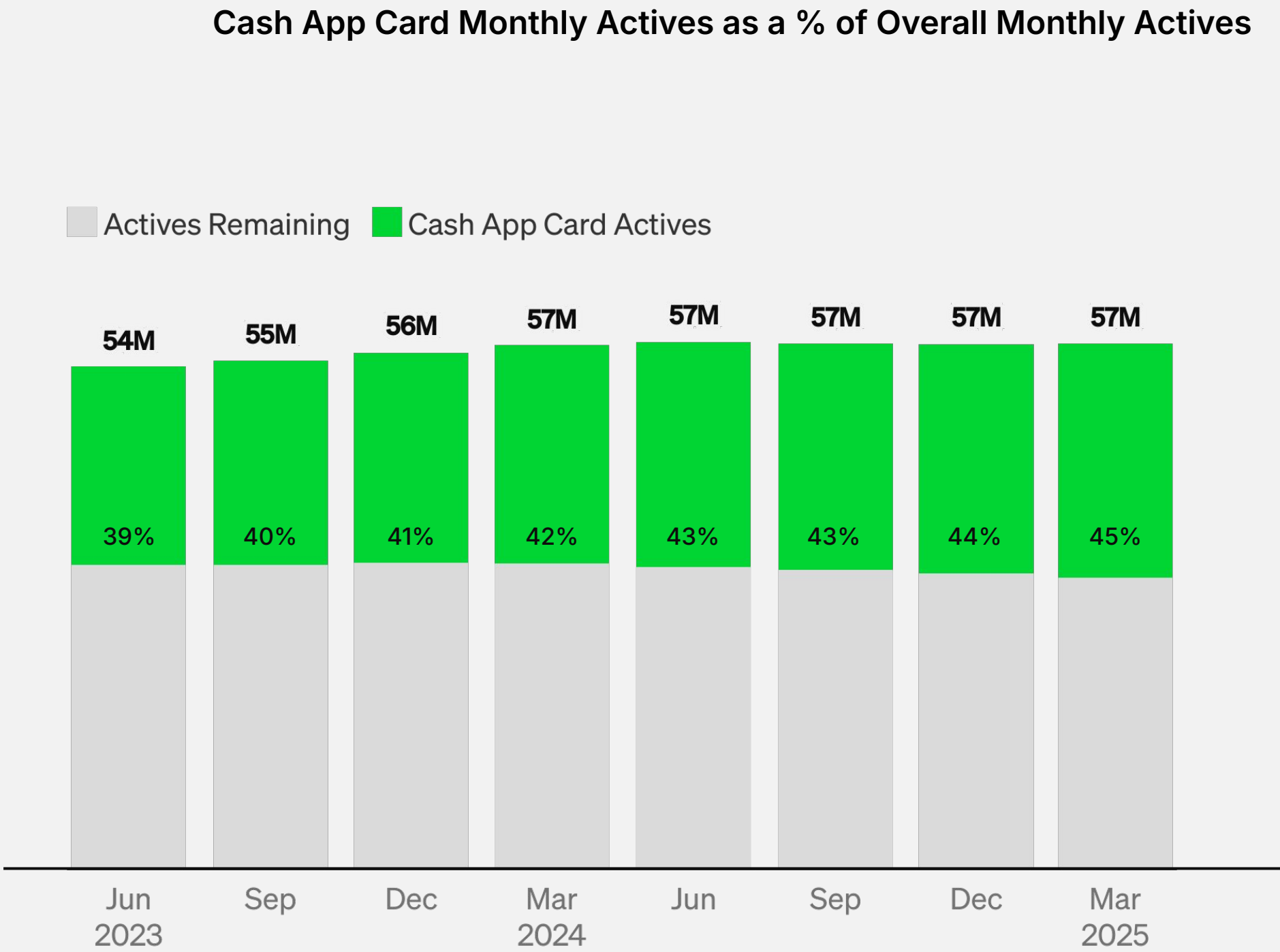
Cash App Inflows per Transacting Active



Please see the appendix for a definition of inflows per transacting active.

Cash App Card actives growth

Cash App Card monthly actives
have grown as a % of overall
Cash App actives over time



Actives scale across Cash App product areas

2.5M

Paycheck Deposit
Monthly Actives

7M

Cash App Pay
Monthly Actives

5M

Cash App Borrow
Monthly Actives

25M

Cash App Card
Monthly Actives

With Afterpay, we focused on driving healthy consumer behavior and repeat engagement

<1%

risk loss on Afterpay
consumer receivables

>95%

of Afterpay GMV comes
from returning customers

96%

of all installments
were paid on time

98%

of all purchases
incurred no late fees



"I absolutely just love using Cash App. It makes it so easy to send/receive money to/from family and friends! The debit card isn't too bad either! Love my design lol"

ELIAS PATLAN MERCADO, FACEBOOK

"This is why I switched to Cash App. No overdraft fees, ever."

PIGGLYWIGGLYDELUXE, REDDIT

"actually had the biggest brain moment and now im gonna use my cashapp acc to pay bills and my actual bank account for fun money."

@BRAYTECHINTERN, X

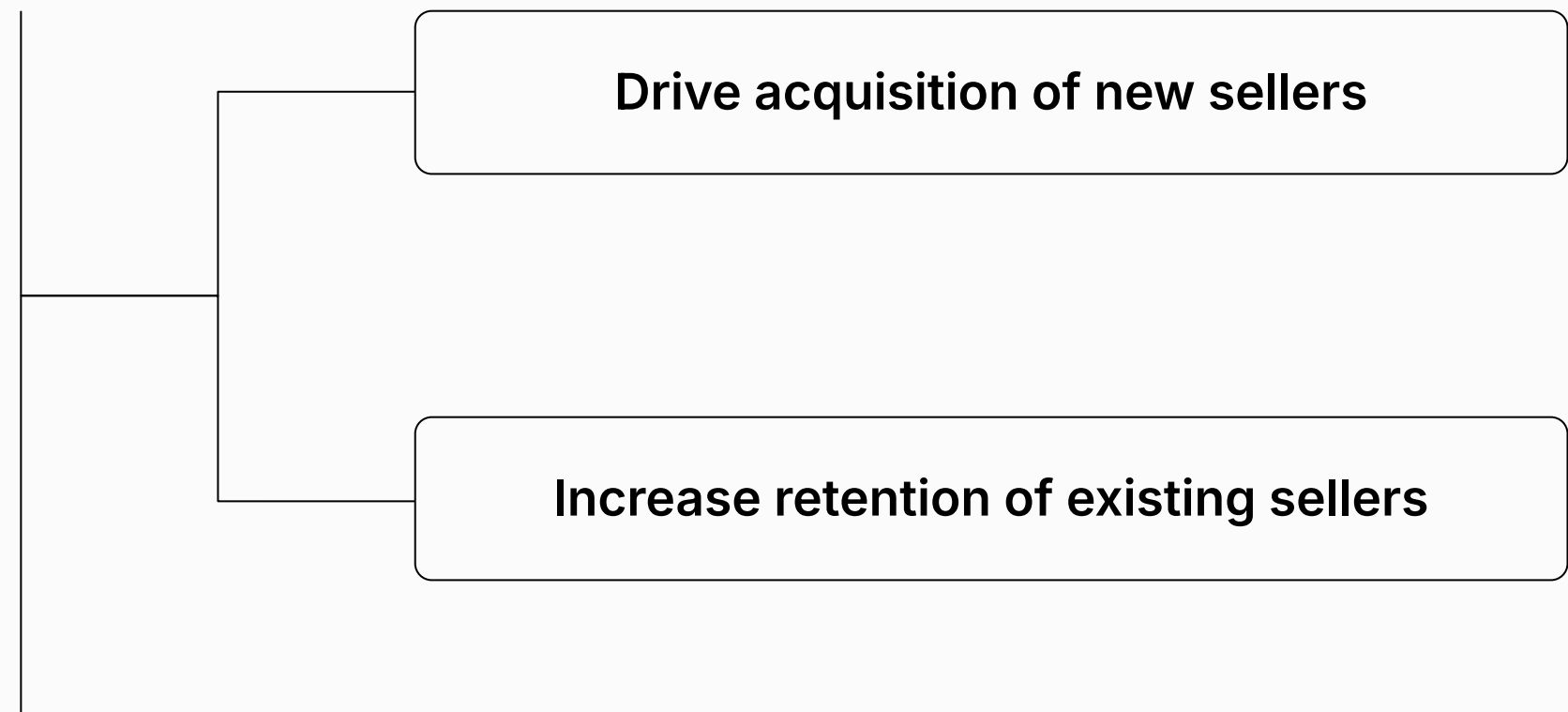
Square

Strategic priorities

Improve Square GPV growth through new product launches and go-to-market initiatives

- Building a rock solid and flexible platform
- Providing a local experience to sellers of all sizes
- Growing with artificial intelligence
- Finding more ways for our customers to bank with Square

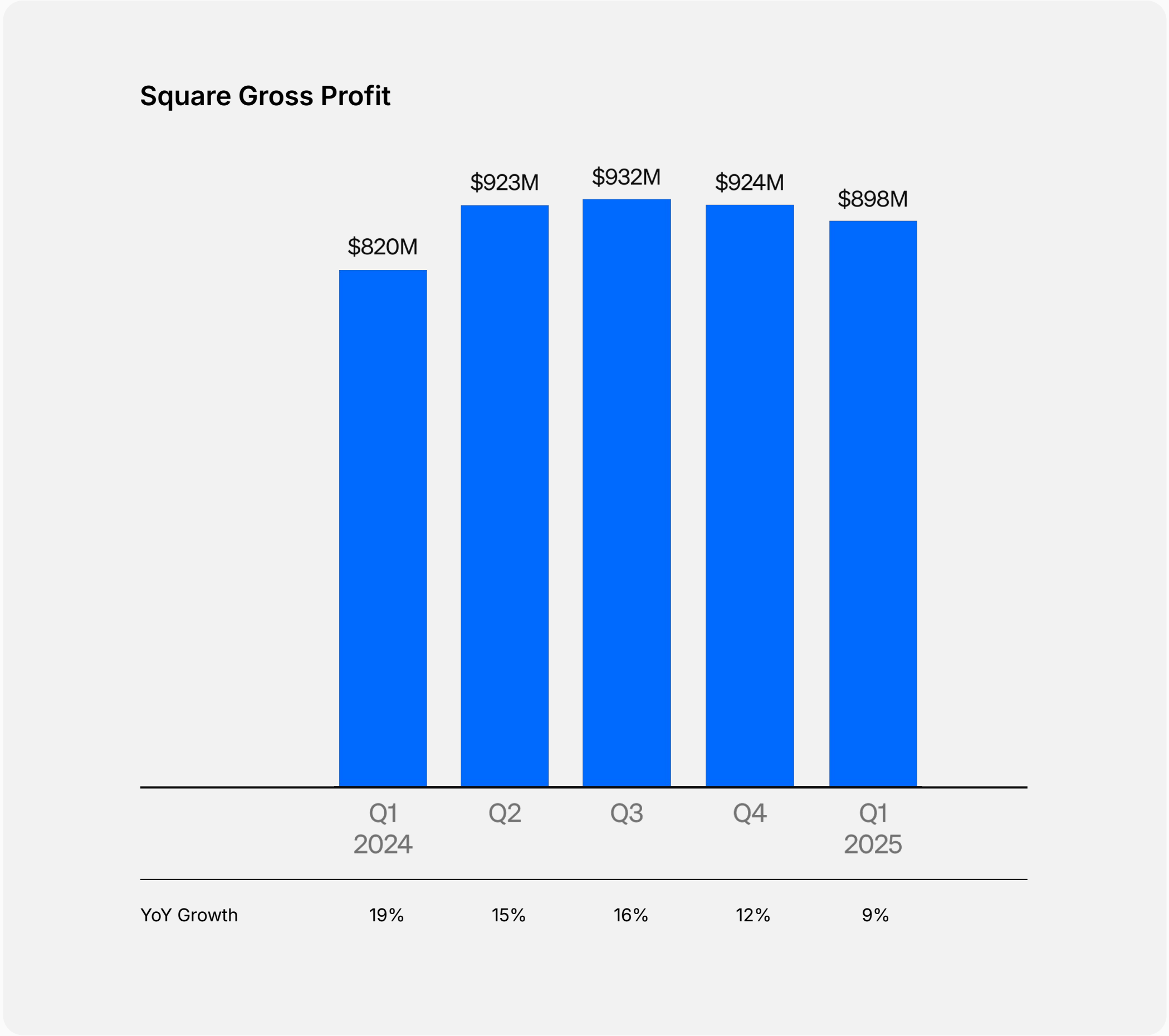
Pillars of our strategy



How we measure success

Continued strong growth at scale

Gross profit growth of 9% year over year driven by strength in our banking products and software and integrated payments

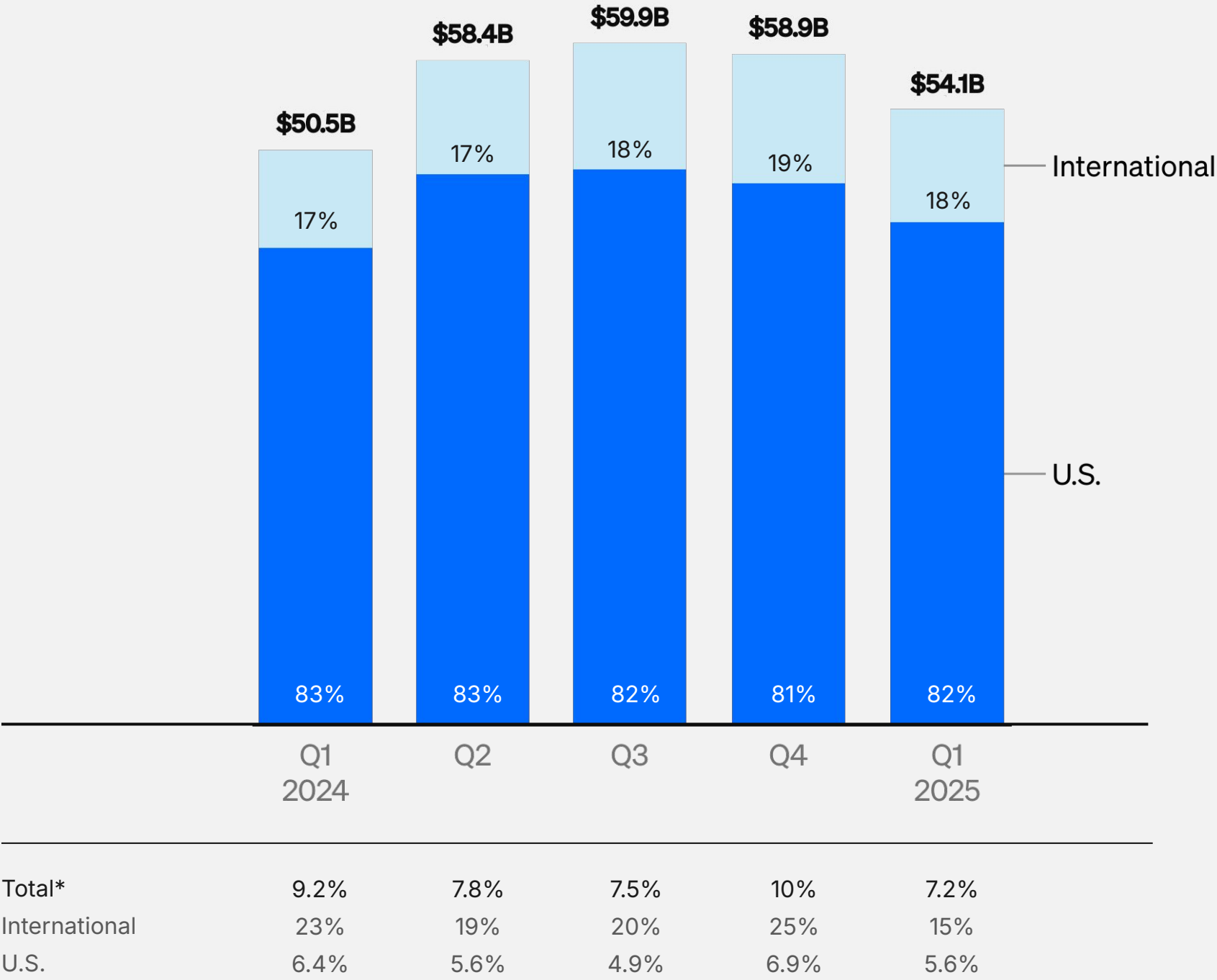


Growing across diverse geographies

In the first quarter, total Square GPV grew 7.2%, with U.S. GPV growing 5.6% and International GPV growing 15%

* Percentages show YoY growth for the period specified. Please see the appendix for a definition of Square GPV. International GPV is shown on a reported basis.

Square GPV by Geography



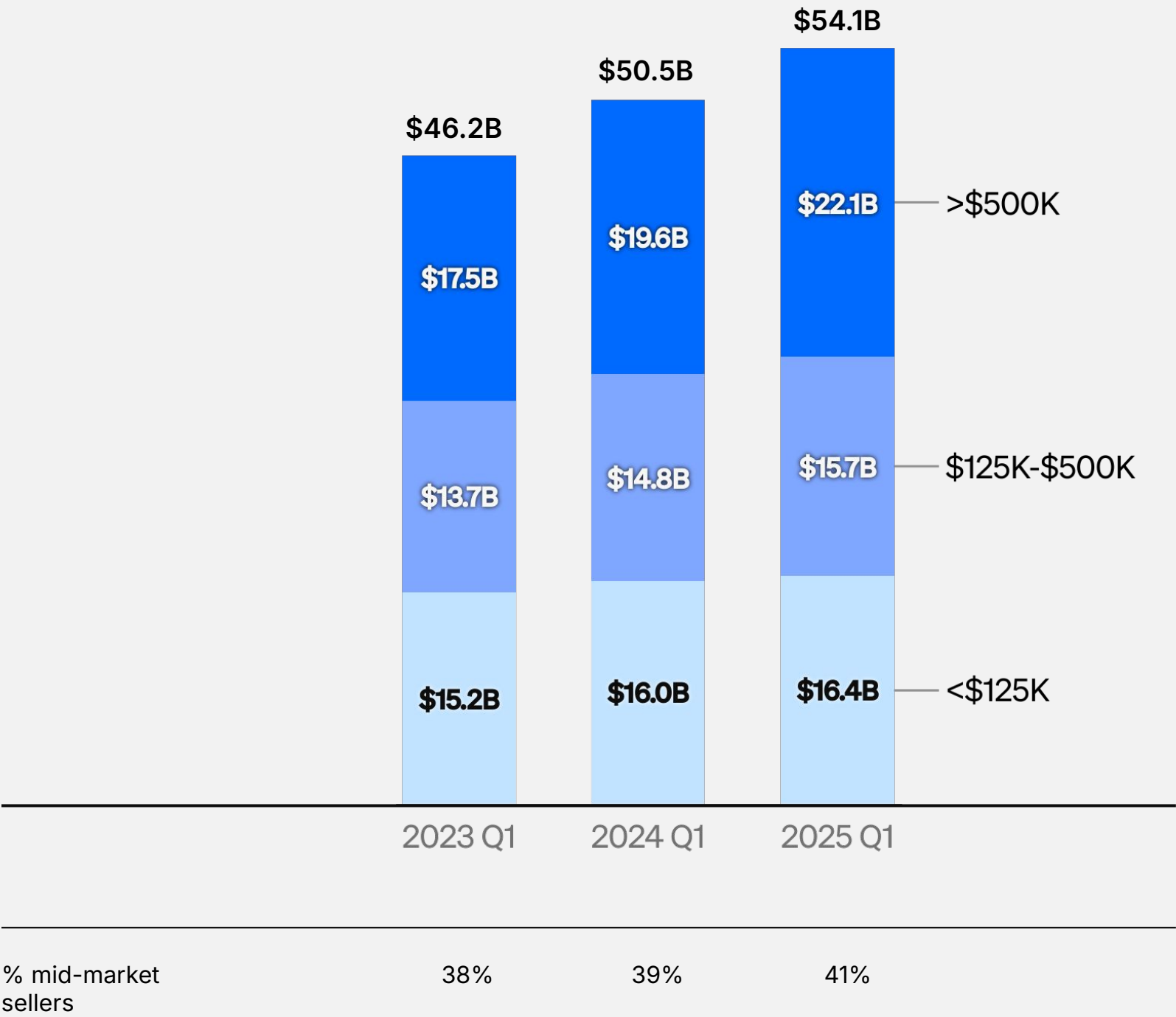
Upmarket progress

41%

GPV from mid-market sellers in Q1 2025

We determine seller size based on annualized Square GPV during the applicable quarter. A mid-market seller generates more than \$500,000 in annualized GPV.

Square GPV by Seller Size





"Square makes my life way easier. I can send invoices and ring items up right from the Square app on my phone. It's really awesome to be able to do that on the fly."

The KDS was the main reason I got Square. It's so easy to look back through tickets and mark orders ready. It's just way cleaner."

It's the best. I recommend Square to everybody."

NATE HOOPS, CO-FOUNDER, PHODEGA, CHICAGO

2025 Full Year Guidance

We recognize we are operating in a more dynamic macro environment, so we have reflected a more cautious stance on the macro outlook into our guidance. For the full year, we expect 12% gross profit growth year over year. We expect to deliver Adjusted Operating Income of \$1.90 billion, equating to a margin of approximately 19% on gross profit, which implies an expectation of Rule of 31 in 2025.

	2025
Gross Profit	\$9.96B
YoY Growth	12%
Adjusted Operating Income	\$1.90B
% Margin	19%
Rule of X	31%

We have not provided the forward-looking GAAP equivalents for certain forward-looking non-GAAP metrics, including Adjusted Operating Income (Loss) or GAAP reconciliations of the aforementioned, as a result of the uncertainty regarding, and the potential variability of, reconciling items such as contingencies, restructuring and other charges. However, it is important to note that material changes to reconciling items could have a significant effect on future GAAP results.

Q2 2025 Guidance

We expect gross profit in the second quarter to grow 9.5% year over year to \$2.45 billion. We expect to accelerate gross profit growth meaningfully in the second half of the year as we execute on our strategies to deepen engagement with Cash App customers and expand Borrow and retroactive BNPL to more customers.

We have not provided the forward-looking GAAP equivalents for certain forward-looking non-GAAP metrics, including Adjusted Operating Income (Loss) or GAAP reconciliations of the aforementioned, as a result of the uncertainty regarding, and the potential variability of, reconciling items such as contingencies, restructuring and other charges. However, it is important to note that material changes to reconciling items could have a significant effect on future GAAP results.

	Q2 2025
Gross Profit	\$2.45B
<i>YoY Growth</i>	9.5%
Adjusted Operating Income	\$450M
<i>% Margin</i>	18%
Rule of X	28%

Appendix

Appendix

SLIDE 4 & 11

Gross profit per monthly transacting active is calculated based on Cash App annualized gross profit excluding our BNPL platform during a given quarter divided by the monthly transacting actives for the last month of the quarter. Gross profit for our BNPL platform was \$208 million or \$831 million on an annualized basis for Q1'24, \$220 million or \$881 million on an annualized basis for Q2'24, \$242 million or \$968 million on an annualized basis for Q3'24, \$298 million or \$1.19 billion on an annualized basis for Q4'24, and \$237 million or \$948 million on an annualized basis for Q1'25.

A transacting active is a Cash App account that has at least one financial transaction using any product or service within Cash App during a specified period. A transacting active for a specific Cash App product has at least one financial transaction using that product during the specified period and is referred to as an active. Examples of transactions include sending or receiving a peer-to-peer payment, transferring money into or out of Cash App, making a purchase using Cash App Card, earning a dividend on a stock investment, and paying back a loan, among others. Certain of these accounts may share an alias identifier with one or more other transacting active accounts. This could represent, among other things, one customer with multiple accounts or multiple customers sharing one alias identifier (for example, families).

SLIDE 4 & 21

Square GPV is defined as the total dollar amount of all card and bank payments processed by sellers using Square, net of refunds. Constant currency growth is calculated by assuming international results in a given period and the comparative prior period are translated from local currencies to the U.S. dollar at rates consistent with the monthly average rates in the comparative prior period. We discuss growth on a constant currency basis because a portion of our business operates in markets outside the U.S. and is subject to changes in foreign exchange rates.

Appendix

SLIDE 12

Inflows per transacting active refers to total inflows in the quarter divided by monthly actives for the last month of the quarter. Inflows refers to funds entering the Cash App ecosystem. Inflows does not include the movement of funds when funds remain in the Cash App ecosystem or when funds leave the Cash App ecosystem, or inflows related to the Afterpay or Verse apps. Inflows from Verse actives were not material to overall inflows.

Reconciliations (unaudited)

Adjusted Operating Income (in thousands, except for percentages)

	THREE MONTHS ENDED				
	Mar 31, 2025	Mar 31, 2024	Jun 30, 2024	Sept 30, 2024	Dec 31, 2024
Operating income (loss)	\$329,402	\$249,743	\$306,562	\$323,009	\$13,013
Amortization of acquired technology assets	14,674	18,027	17,589	17,186	15,562
Acquisition-related and integration costs	320	32,512	15,350	608	549
Contingencies, restructuring and other charges	77,811	14,063	18,804	66,694	202,885
Restructuring share-based compensation	10,506	6,637	-	-	1,434
Goodwill and intangible asset impairment	-	-	-	-	133,854
Amortization of customer and other acquired intangible assets	33,656	43,282	40,813	36,021	34,593
Adjusted Operating Income (Loss)	\$466,369	\$364,264	\$399,118	\$443,518	\$401,890
Adjusted Operating Income margin (%) of gross profit	20%	17%	18%	20%	17%

Reconciliations (unaudited)

Adjusted EBITDA (in thousands, except for percentages)

		THREE MONTHS ENDED				
		Mar 31, 2025	Mar 31, 2024	Jun 30, 2024	Sept 30, 2024	Dec 31, 2024
Net income (loss) attributable to common stockholders	\$189,872	\$472,005	\$195,268	\$283,754	\$1,946,020	
Net loss attributable to noncontrolling interests	-1,150	-1,185	-5,396	-2,618	-21,351	
Net income (loss)	188,722	470,820	189,872	281,136	1,924,669	
Share-based compensation expense	304,730	304,531	320,368	324,055	315,532	
Restructuring share-based compensation expense	10,506	6,637	-	-	1,434	
Depreciation and amortization	88,948	97,640	96,903	92,706	88,878	
Interest expense (income), net	17,243	-18,745	-1,871	13,811	16,107	
Remeasurement gain on bitcoin investment	93,351	-233,404	70,116	-5,288	-252,342	
Other expense (income), net	-8,342	-4,420	-10,584	-9,661	-28,546	
Loss on disposal of property and equipment	1,164	-71	1,471	384	850	
Acquisition-related and integration costs	320	32,512	15,350	608	549	
Contingencies, restructuring and other charges	77,811	14,063	18,804	66,694	202,885	
Goodwill impairment	-	-	-	-	133,854	
Acquired deferred revenue and cost adjustment	13	19	18	16	14	
Provision (benefit) for income taxes	38,328	35,492	59,029	43,011	-1,646,875	
Adjusted EBITDA	\$812,794	\$705,074	\$759,476	\$807,472	\$757,009	
Adjusted EBITDA margin (%) of gross profit	36%	34%	34%	36%	33%	